

The table shows the percentage of your final salary that you would make in retirement per year as a firefighter. If your final salary was \$100,000 and you worked for the Los Angeles City Fire Department for 20 years, you would receive \$50,000 every year for the rest of your life (\$50,000 is 50% of your final \$100,000 salary). If you worked for 33 years, you would receive \$90,000 per year for the rest of your life.

You should also be aware that not all pensions are created equal. While the pension plans for Los Angeles firefighters and police officers are pretty incredible, they are decidedly higher than most pensions. According to [Newretirement.com](https://www.newretirement.com), the median pensions in the U.S. fall somewhere between \$9,262 and \$22,172 per year.⁵⁴ If you do work for an employer with a pension plan, be sure you find out whether or not the plan will pay enough to cover all of your expenses in retirement. If not, you will probably need to be investing in an IRA to supplement your pension in retirement.

Unfortunately, although they can be sweet, pensions have become less and less common in America. If, however, you do find a job that offers a pension, it may seriously help reduce the stress that comes with planning and investing in retirement on your own.

Lifecycle Funds

Once you have a 401(k) or an IRA, you need to figure out how the money you have in the account is invested. It is at this point

⁵⁴ Kathleen Coxwell, "Average Retirement Income 2020: How Do You Compare?," NewRetirement, January 21, 2020, <https://www.newretirement.com/retirement/average-retirement-income-2020-how-do-you-compare/>.